

long-term equity returns; the impact of *emotions*, so dominant in the short term, dissolves. Therefore, as I wrote in my *Little Book of Common Sense Investing* (John Wiley & Sons, 2007), “the stock market is a giant distraction from the business of investing.”

A Loser's Game

The distinction between the *real* market and the *expectations* market was perhaps best expressed by Roger Martin, dean of the Rotman School of Business at the University of Toronto. In the real market of business, real companies spend real money and hire real people and invest in real capital equipment, to make real products and provide real services. If they compete with real skill, they earn real profits, out of which they pay real dividends. But to do so demands real strategy, real determination, and real capital expenditures, to say nothing of requiring real innovation and real foresight.

In the expectations market, by contrast, prices are set, not by the realities of business just described, but by the expectations of investors. Crucially, these expectations are set by numbers, numbers that are to an important extent the product of what our managements want them to be, too easily managed, manipulated, and defined in multiple ways. What is more, we not only allow but seemingly encourage chief executives, whose real job is to build real corporate value, to bet in the expectations market, where their stock options are priced and exercised. That practice should be explicitly illegal, just as it is illegal in most professional sports. Imagine, for example, what would happen if National Football League quarterbacks or National Basketball Association centers were allowed to bet on their own teams' pregame spreads. Yet CEOs do exactly that, which is one reason why stock-option compensation creates huge distortions in our financial system.

Which is the winner's game and which is the loser's game? Betting on real numbers and real returns, and buying and holding stocks for the long haul? (That is, *investing*.) Or betting on expected numbers and ginned-up returns, and in essence renting stocks